TEACHER GUIDE

High school business

Promotion and advertising



A review lesson. Students run a car dealership in firms of four and review promotion and advertising on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min | **45 min** | 60 min | 75 min

What students do

Every student buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal inventory

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Profit from the ad

Round 1

An ad for these cars.

Profit from the ad? Minus if below zero.

The ad costs	**$1,500**
Extra sales from it	**5 cars**
Margin per car	**$1,400**

ANSWER

$5,500

5 × $1,400 − $1,500 = $5,500

Why: 5 extra cars bring $7,000 for a $1,500 ad.

2 Was the ad worth it

Round 1

You ran a local radio ad last month.

Which two best show the ad worked?

- **A** Extra sales from new buyers
- **B** More people heard it
- **C** It cost less than last year's
- **D** Extra profit above its cost
- **E** The ad won an award

ANSWER

✓ Extra sales from new buyers
✓ Extra profit above its cost

Why: An ad pays when its extra sales earn more than it cost.

3 Rank cost per sale

Round 2

Three ads: what each cost, and the sales it brought.

Order by cost per sale, cheapest first?

- **A** Paper: $600, 4 sales
- **B** Radio: $1,500, 6 sales
- **C** Social: $800, 8 sales

ANSWER

1. Social: $800, 8 sales
2. Paper: $600, 4 sales
3. Radio: $1,500, 6 sales

Why: Cost ÷ sales: $100, $150, $250. The cheapest ad is not the best value.

Topic tasks

4 More profitable ad

Round 2

Pick one of two ads.

Profit from the more profitable ad?

Radio cost (4 extra cars)	**$3,000**
Social cost (5 extra cars)	**$1,500**
Margin per car	**$1,900**

ANSWER

$8,000

Radio $4,600, social $8,000: $8,000

Why: The cheaper ad is not always the better one.

5 TV or trade paper

Round 3

TV ad: $2,000, 50,000 viewers, few want a car. Car magazine: $800, 5,000 local car buyers.

Which ad should you pick, and why?

A The car magazine

B The TV ad

ANSWER

✔ The car magazine

Why: The magazine reaches the people who buy from you, at less cost.

6 Which ad pays

Round 3

Pick one of two ads.

Profit from the more profitable ad?

Radio cost (24 inquiries)	**$1,250**
Social cost (20 inquiries)	**$2,250**
Inquiries that buy	**1 in 4**
Margin per car	**$1,800**

ANSWER

$9,550

Radio 6 × $1,800 − $1,250 = $9,550; social $6,750

Why: Inquiries are not sales: count the cars that sell.

Final questions

Each student answers 6 final questions. They come from these 10 questions on promotion and campaigns.

1. A campaign pays +20% on your firm's next 2 sales this round, up to $2,000 each. You sell a car for $8,000. What bonus does that sale earn?
   ✔ **$1,600**

2. The same campaign (+20%, up to $2,000 each, next 2 sales). Your next two sales are $15,000 and $9,000. What is the total bonus?
   ✔ **$3,800**

3. A campaign costs $3,000 and pays +15% on your next 3 sales, up to $1,500 each. The sales are $8,000, $8,000 and $11,000. What does it earn the firm after its cost?
   ✔ **$900**

4. When does a campaign pay its bonus?
   ✔ **On the firm's next ordinary customer sales this round**

5. Your firm sells working machines such as forklifts and excavators. Which promotion is most likely to reach its customers?
   ✔ **A local search ad aimed at businesses that need machines**

6. Campaign X costs $2,500: +20% on the next 2 sales, up to $2,000. Campaign Y costs $6,000: +20% on the next 6 sales, up to $3,000. You expect 2 sales of $10,000 this round. Which is better?
   ✔ **X: it earns $1,500 after its cost; Y loses $2,000**

7. Your campaign's bonus sales have all been paid. What can the firm do this round?
   ✔ **Book a new campaign: a used one no longer blocks it**

8. Why can a campaign lose money?
   ✔ **The firm makes too few sales this round to earn back its cost**

9. A campaign costs $2,000. How much bonus must it earn to break even?
   ✔ **$2,000**

10. A campaign costs $6,000 and pays +25% on your next 3 sales, up to $3,000 each. The sales are $10,000, $14,000 and $9,000. What does it earn after its cost?
    ✔ **$1,750**